

Partnership for Carbon Accounting Financials (PCAF)

In February 2025, SBI became a signatory to the Partnership for Carbon Accounting Financials (PCAF) which will ensure that its reporting continues to align with globally accepted standards, enhancing the credibility and acceptability of disclosures and reports. Adoption of PCAF's standardized approach enhances the credibility of our reporting on GHG intensity for business activities and foster greater transparency for stakeholders which will enable more informed decision-making and facilitate effective monitoring of the Bank's progress toward sustainability goals.



Environmental, Social and Governance (ESG) framework for rating borrowers on ESG criteria

Acknowledging material impact of ESG parameters of an entity on Sustainability of its operations, the Bank has developed a framework for rating Corporate borrowers on ESG parameters. This applies to borrowers (existing/prospective) in India with existing/proposed total exposure with SBI of above ₹ 100 crore (for listed borrowers) and above ₹ 250 crore (for unlisted borrowers).

The following parameters are taken into account and monitored under the ESG criteria:

Environmental concerns

- Company's energy consumption
- Emission of GHG gases
- Water usage and disposal of toxic water
- Solid waste management
- Emission reduction initiatives

Social concerns

- CSR contribution
- Turnover rate of employees
- Employee skill development
- Inclusive growth
- Equitable development
- Privacy and data security
- Negative news such as strike, protests and lockouts
- Business Responsibility reporting

Governance concerns

- Composition of the company's Board
- Financial disclosures
- Adherence to regulatory guidelines
- Related party transaction disclosures
- Ethical standards
- History of fraud default

Formation of Green Clubs

Green Clubs have been introduced at select outfits as an empowering mechanism for Branches / Employees to adopt, participate and take up eco-friendly and sustainable activities and projects within the Bank which will help in reducing the carbon footprints in internal operations and to engage with and influence the neighbourhood communities for adoption of climate friendly and sustainable practices for a greener and cleaner planet. Various eco-friendly activities such as energy, paper and water saving initiatives, waste management, and awareness programs such as Green community outreach program may be undertaken by the branches/employees at select operating units. The performance of the Green Club Units is evaluated on various measurable and non-measurable parameters on a quarterly basis.

Green Reward points

The Bank also offers Green Reward Points to its customers, which can be redeemed for credit to SBI Green Fund, the proceeds of which is utilized for sustainable activities like tree plantation, installation of water harvesting units, construction of Bio-toilets, and Covid care activities etc.

SBI Green, a dedicated platform

SBI Green, a dedicated platform has been introduced on Bank's website, bank.sbi, to provide information on various products & services offered, enable one touch application for any specific Green digital product/ services, disclosure of reports, policies or any other green activities for better visibility.



Loans at foreign offices

Aligned with the Bank's domestic initiatives, Foreign Offices are also pursuing green lending, climate finance, sustainable development projects, renewable energy, etc, demonstrating their broad engagement with sustainable finance. Foreign Offices have integrated sustainable lending into their loan policies, in alignment with the Bank's guidelines, local regulations, and global market practices. Foreign offices are striving to reduce their carbon footprints in their lending portfolio. They play a vital role in supporting Indian corporates in their journey towards Net Zero by facilitating sustainable Finance in Foreign Currency through External Commercial Borrowings (ECBs).The ECB & Syndication department at IBG is continuously exploring opportunities for ESG loans within the Bank's approved framework.

Foreign Offices are actively participating in Green Loans, Social Loans, and Loans with Sustainability-linked pricing. Foreign Offices have extended 76 loans with an outstanding amount of USD 1,724 million under sustainable finance.

Types of loans extended by Foreign Offices

Type of Loan	Number of Loans	Outstanding Amount (USD million)
Green & Social	22	170.16
Sustainability-linked Pricing	54	1,553.63
Total	76	1,723.79

